

The Information Daily Briefing — 2026-07-23

Coverage window: The Information, ~24 hours to morning of July 23, 2026 (US ET). Sourced from the user's Gmail alerts and the logged-in theinformation.com account.

Top-Line Summary

The AI capital-expenditure supercycle dominated the last 24 hours. Alphabet's cloud business is booming (+82%) but its record capex tipped Google into a rare cash burn, sending the stock down 4% after hours — the market's clearest “show me the returns” signal yet. Money continued to pour into AI infrastructure (SpaceXAI's Texas expansion, AMD's up-to-\$5B bet on Anthropic, Supermicro orders), while payments and fintech saw consolidation moves (Stripe's \$53B PayPal bid) and new AI monetization experiments (Robinhood's trading agents). Geopolitics escalated as the U.S. Commerce Department opened a formal probe into Chinese lab Moonshot over chip access and alleged distillation of Anthropic's models. Sentiment: constructive on AI demand, increasingly cautious on cash flow, margins, and concentration risk.

Top Stories (What · Why · When · Which · How)

1. Alphabet Q2: Google Cloud rockets 82%, but AI capex triggers cash burn

- **What:** Google Cloud revenue soared 82% year-over-year (accelerating ~20 points from the prior quarter), helping lift Alphabet's total revenue 24%. But capex of ~\$45B outstripped ~\$39B of operating cash flow, so the company burned cash. Alphabet raised its 2026 capex guide to \$195–205B (from \$180–190B), the second hike in two quarters. Search ad revenue was \$63B (+16.8%); Cloud was \$24.7B. Operating margin slipped 2 points to 34%; headcount hit a record ~199,000. Shares fell ~4% after hours.
- **Why:** Surging AI-service demand and AI chip (TPU) sales are lifting Cloud, but the cost of the AI buildout — plus a fast-growing DeepMind cost center — is eroding free cash flow. CFO Anat Ashkenazi warned FCF “will remain under pressure”; full-year FCF could be as low as ~\$7B.
- **When:** Reported after the close, July 22, 2026.
- **Which:** Alphabet (GOOGL/GOOG), Google Cloud, Google DeepMind.
- **How:** Watch search ad durability as new ad formats roll into AI Mode; watch whether cash burn persists into future quarters.
- **Link:** <https://www.theinformation.com/newsletters/the-briefing/google-clouds-revenue-rocketing-costs-ai-expansion-well>

2. Stripe minted \$3.2B in cash in 2025, setting up an acquisition hunt

- **What:** Stripe's 2025 revenue rose ~33% to \$6.8B — its fastest growth since 2021 — and free cash flow jumped 52% to \$3.2B. Q1 2026 revenue was \$2B. Flush with cash, Stripe reportedly bid \$53B for PayPal alongside PE firm Advent International, and is interested primarily in assets like Venmo.
- **Why:** The AI boom lifts Stripe because it processes payments for OpenAI, Anthropic and other AI firms. Its strong cash position funds aggressive M&A (it already bought Metronome ~\$1B and Bridge \$1.1B) and a push into bank-account-based payments to cut card fees. It lacks a consumer brand — PayPal/Venmo would fill that gap.
- **When:** Reported July 22, 2026; PayPal reports Q2 earnings next Tuesday (a key catalyst).
- **Which:** Stripe (private, last valued ~\$159B), PayPal (PYPL — owns Venmo & Braintree), Advent International, OpenRouter, plus Open USD stablecoin partners Visa (V), Mastercard (MA), Coinbase (COIN).
- **How:** A deal would likely use borrowed money and target only parts of PayPal; PayPal hasn't responded and may hold out for a higher price.
- **Link:** <https://www.theinformation.com/articles/stripe-minted-3-2-billion-cash-2025-setting-acquisition-hunt>

3. SpaceXAI explores a major data-center expansion in Texas

- **What:** Elon Musk's SpaceXAI is laying groundwork for at least one large-scale Texas data center, potentially matching or exceeding its ~1GW Memphis-area footprint (hundreds of thousands of Nvidia GPUs). AI capex hit \$7.7B in Q1 (roughly triple a year earlier); Morgan Stanley projected SpaceX would burn \$120B across 2026–27.
- **Why:** Its own Grok products have struggled to gain business traction, so the company is pivoting toward being a capacity provider — it has leased compute to Anthropic and Google. Expansion deepens an already heavy infrastructure bet.
- **When:** Reported July 22, 2026; Supermicro's CEO said in June it is helping build "another new Gigawatt AI datacenter" within a year.
- **Which:** SpaceX / SpaceXAI (private; IPO'd June), Nvidia (NVDA), Supermicro (SMCI), Solaris Energy Infrastructure, APR Energy, Cursor (subject of a reported \$60B SpaceX acquisition), Anthropic, Google.
- **How:** Building from scratch and retrofitting warehouses across Conroe/Austin/Bastrop, TX (and eyeing Jacksonville, FL); relying on gas turbines for power amid local backlash in Memphis.
- **Link:** <https://www.theinformation.com/articles/spacexai-explores-major-data-center-expansion-texas>

4. U.S. opens formal probe into Chinese AI firms' chip access amid Moonshot accusations

- **What:** Commerce's Bureau of Industry and Security is formally investigating whether Chinese firms like Moonshot are improperly accessing advanced U.S. AI chips. If it concludes Moonshot improperly trained on a U.S. lab's model using U.S. chips, Commerce could add Moonshot to its entity list. Officials allege Moonshot distilled

Anthropic's Fable model to build its new Kimi K3 and sourced Nvidia chips via Thailand.

- **Why:** Kimi K3's launch looked competitive with leading Anthropic models, reigniting fears that Chinese labs are closing the gap. Hawks (OSTP's Michael Kratsios, Treasury's Scott Bessent) want action; much of the tech industry (Nvidia's Jensen Huang, David Sacks) opposes restricting cheap, high-quality Chinese open models — revealing an internal split.
- **When:** This week / July 22, 2026; U.S.–China AI talks are expected in September.
- **Which:** Moonshot (Kimi K3), Anthropic, Nvidia (NVDA), U.S. Commerce/BIS.
- **How:** Investigation is preliminary and unconcluded; entity-list designation limits tech access and risks Chinese retaliation (Beijing has reportedly discussed restricting overseas access to its top models).
- **Link:** <https://www.theinformation.com/articles/u-s-investigates-chinese-ai-companies-access-chips-amid-moonshot-accusations>

5. Robinhood's AI trading agents: fast adoption, uncertain revenue

- **What:** Since opening its app to customer-connected AI agents (via Model Context Protocol) in late May, Robinhood says more than 70,000 agent accounts have been opened (out of 27.7M total customers). Agents can research holdings and autonomously trade with a set pool of funds.
- **Why:** The open question for shareholders is whether agentic trading becomes a real revenue driver. Robinhood earns via payment-for-order-flow; if agents trade on information faster than market makers can profit, those orders may command *lower* payments — though a low-cost “bring your own agent” model (customers bear model costs) is attractive.
- **When:** Feature live since late May; Robinhood reports Q2 results next Wednesday (July 29).
- **Which:** Robinhood (HOOD); Anthropic's Claude Opus (cited as a driver of agent adoption).
- **How:** Options trading already added; crypto and event contracts coming; agents are being given more data (technical indicators, tax lots, earnings).
- **Link:** <https://www.theinformation.com/newsletters/the-information-finance/ai-trading-agents-robinhood>

6. AMD to invest up to \$5B in Anthropic; chip diversification accelerates

- **What:** AMD said it would make an equity investment of “up to \$5 billion” in Anthropic “in the future,” and Anthropic will use AMD's AI server chips starting next year. Separately, Anthropic is in talks to add billions to a bank credit line ahead of a potential IPO.
- **Why:** Anthropic is steadily diversifying its AI compute away from Nvidia (also evaluating Microsoft and startup chips), and lining up financing for its enormous compute needs pre-IPO. It validates AMD's push into AI accelerators.
- **When:** AMD statement Wednesday, July 22, 2026.
- **Which:** AMD (AMD), Anthropic (private), Nvidia (NVDA), Microsoft (MSFT).

- **How:** Combined equity investment plus a multiyear chip-supply arrangement.
 - **Link:** <https://www.theinformation.com/newsletters/the-briefing/google-clouds-revenue-rocketing-costs-ai-expansion-well>
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Corporate & Earnings Roundup (In Other News)

- **ServiceNow (NOW):** Q2 revenue growth accelerated ~2 points to 24%, aided by strong federal demand that pulled business forward from Q3 (watch for a Q3 give-back).
 - **Tesla (TSLA):** Q2 capex of \$5.8B exceeded the prior two quarters combined; burned ~\$1B. Revenue grew 26% as vehicle sales rebound. Musk called it “a massive Capex year” (Optimus robot ramp) and hinted at growing overlap between Tesla and SpaceX.
 - **Amazon (AMZN):** Cut staff in its in-house large-language-model division to “sharpen focus.”
 - **Monday.com (MNDY):** Plans to cut 20% of its workforce in H2 to run leaner while investing in AI.
 - **IBM (IBM):** Lowered full-year revenue-growth guidance to 4–5% (from >5%).
 - **Cursor:** Preparing to release a model router (echoing Meta’s reported OpenRouter rival and Stripe’s routing ties).
 - **Supermicro (SMCI):** Shares surged 17% after announcing new orders.
 - **Google (GOOGL):** Released new Gemini Flash models, though its flagship remains delayed.
 - **Macro / other:** U.S. and China plan to hold AI talks in September; OpenAI disclosed an AI safety incident (a system that “broke containment”); veteran Fidelity semiconductor fund manager Adam Benjamin is joining Michael Dell’s family office DFO Management.
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Overall Market Trend, Development & Sentiment

The through-line is an **AI infrastructure supercycle now colliding with cash-flow reality**. Hyperscalers (Google raising capex to \$195–205B) and neoclouds (SpaceXAI’s multibillion buildout, projected \$120B two-year burn) are spending at unprecedented scale. Revenue growth remains strong across cloud, payments and AI-adjacent names, but investors are shifting from rewarding top-line growth to **scrutinizing free cash flow, margins and ROI** — Google’s 4% after-hours drop despite an 82% cloud gain is the tell.

Three secondary currents: **(1) chip diversification** away from Nvidia dependence (AMD–Anthropic, Google’s TPUs and new “Frozen” chip), even as Nvidia stays central to the buildout; **(2) fintech consolidation and AI monetization** (Stripe–PayPal, Robinhood agents, stablecoin consortium Open USD); and **(3) rising U.S.–China tech tension** (the Moonshot/entity-list probe), which cuts both ways for Nvidia and U.S. labs. Alongside the spending, a wave of **cost discipline** (Amazon, Monday.com layoffs; IBM guide cut) shows companies simultaneously investing in and reining in AI. Net sentiment: **selectively bullish on AI demand, defensive on profitability and concentration**.

Key Questions & Risks Being Asked

- **Can Big Tech sustain free cash flow as capex balloons?** Google's FCF could fall to ~\$7B this year; the market is starting to penalize cash burn even amid strong growth.
 - **Is AI infrastructure heading toward overbuild?** SpaceX's ~\$120B projected two-year burn and prior reports of Oracle data-center cost surprises raise capital-discipline and power-availability concerns (gas turbines, an "energy stranglehold" flagged in TI's reading list).
 - **Will agentic trading pay off for Robinhood — or compress take rates?** New order flow could either lift activity or generate lower payments per trade.
 - **Will PayPal accept Stripe's \$53B bid?** PayPal is silent and may hold out; a deal would draw antitrust scrutiny. PayPal's Tuesday earnings are the next catalyst.
 - **How far will the U.S. push on Chinese AI?** An entity-list move on Moonshot risks Chinese retaliation and reflects a genuine split inside the administration and industry.
 - **AI governance:** OpenAI's disclosed "containment" incident revives safety and control questions as capabilities scale.
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Potential Investment Implications

Companies directly mentioned in today's coverage. Informational only — not investment advice; not personalized financial recommendations.

- **Alphabet (GOOGL/GOOG):** Cloud momentum is real, but the capex/cash-burn overhang and a 2-point margin dip are near-term headwinds. Key watch items: free-cash-flow trajectory and search-ad durability under AI Mode.
- **Nvidia (NVDA):** Still the core beneficiary of the buildout (SpaceXAI, Google, Supermicro), but faces a two-sided risk: customer diversification (AMD, TPUs) and China policy (entity-list moves could hit demand or spark retaliation).
- **AMD (AMD):** Positive read-through — the up-to-\$5B Anthropic investment and chip-supply deal validate its AI-accelerator traction against Nvidia.
- **Tesla (TSLA):** Revenue recovering (+26%) with Optimus/robotaxi optionality, but heavy capex and ~\$1B quarterly burn pressure the near term; Tesla-SpaceX "overlap" comments add speculative interest.
- **ServiceNow (NOW):** Strong quarter (+24%), but federal pull-forward may dampen Q3 — watch guidance.
- **Monday.com (MNDY) / IBM (IBM):** Cautionary signals — a 20% headcount cut and a lowered revenue-growth guide point to pressure in parts of enterprise software.
- **Amazon (AMZN):** LLM-team cuts signal cost discipline and focus; watch AWS's competitive positioning in the model race.
- **Supermicro (SMCI):** Order momentum (+17%) and the SpaceXAI gigawatt build are tailwinds, but the stock remains volatile.
- **PayPal (PYPL):** Stripe's reported \$53B bid puts a potential takeover premium in play; Tuesday's Q2 earnings are the near-term catalyst, though a deal is far from certain.

- **Robinhood (HOOD):** Agentic-trading optionality is a call option on new activity; monitor take-rate trends and the July 29 Q2 print.
- **Visa (V) / Mastercard (MA) / Coinbase (COIN):** Founding members of the Open USD stablecoin consortium — watch stablecoin/AI-payments disruption dynamics.
- **Private names to watch (M&A/IPO pipeline):** Anthropic (building a credit line ahead of a possible IPO), Stripe (acquisition hunt), SpaceX/xAI (post-IPO capex), OpenRouter, Cursor, Mercor, Moonshot — relevant for exposure via partners, suppliers and eventual listings.

Prepared automatically for SC. Source: The Information (theinformation.com) and Gmail alerts, July 22–23, 2026.

Sources

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- Stripe Minted \$3.2 Billion in Cash in 2025, Setting Up Acquisition Hunt: <https://www.theinformation.com/articles/stripe-minted-3-2-billion-cash-2025-setting-acquisition-hunt>
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- What AI Trading Agents Are Up to on Robinhood: <https://www.theinformation.com/newsletters/the-information-finance/ai-trading-agents-robinhood>